

Tata Consumer Products Ltd

TATACONSUM | Latest fiscal period 2024-03

36.2

HEALTH · Weak

ROE

7.6%

ROCE

9.1%

OPM

15.0%

DEBT / EQUITY

0.2x

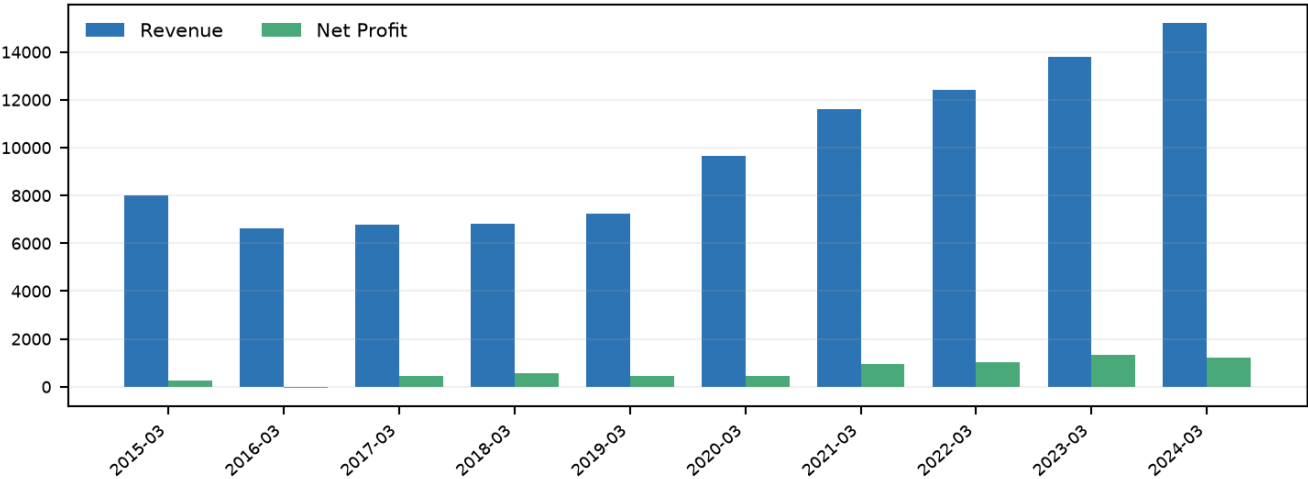
REVENUE CAGR 5Y

16.0%

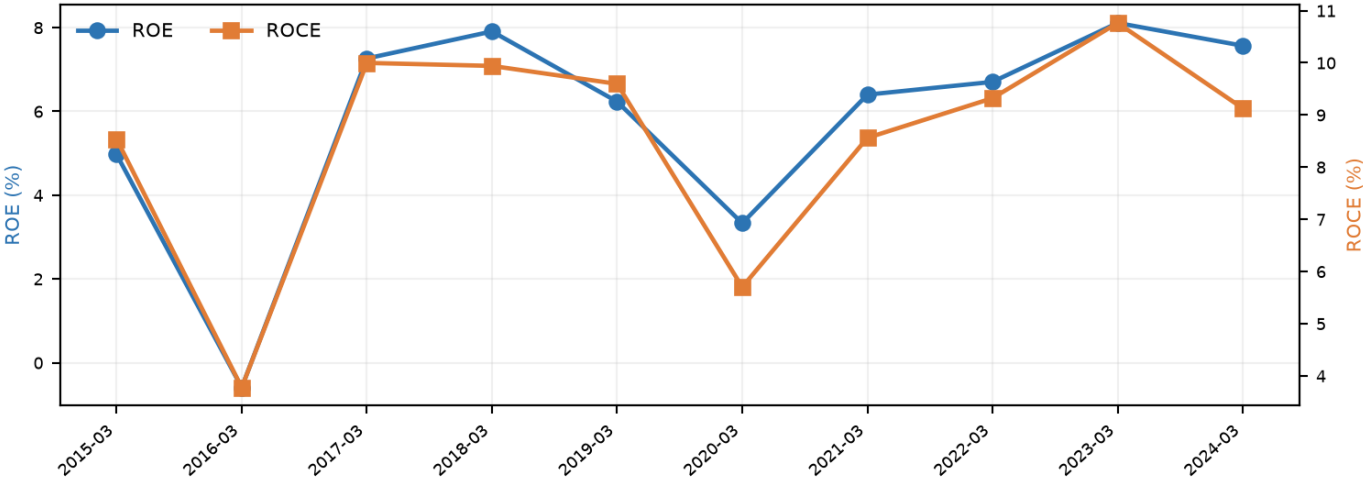
P/E

54.8x

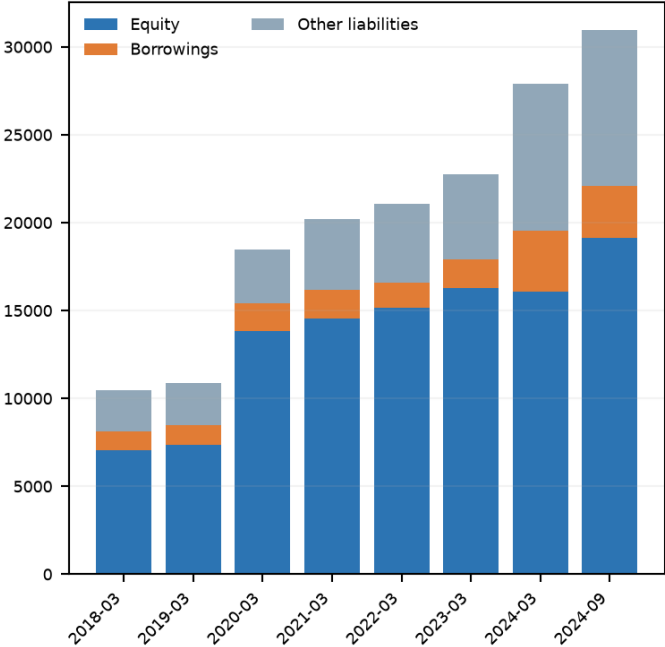
10-Year Revenue and Net Profit (INR Crore)



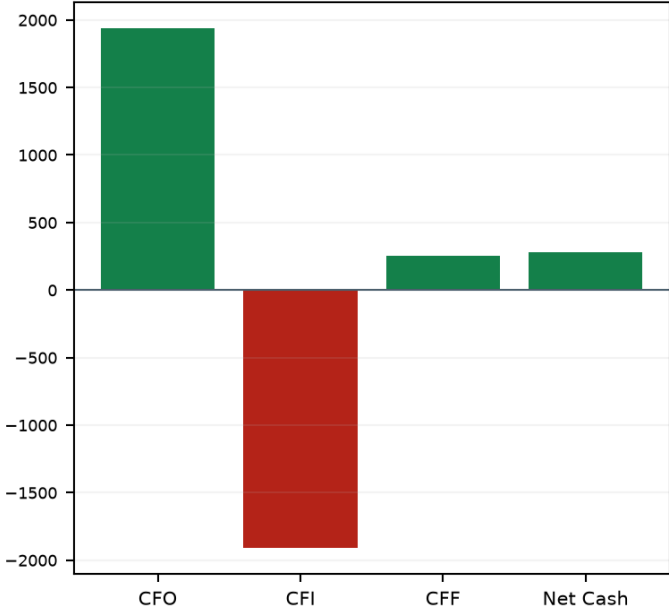
ROE and ROCE Trend



Balance Sheet Composition



Latest Cash Flow Waterfall (2024-03)



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

CAPITAL ALLOCATION · EXPANSION WITH EXTERNAL CAPITAL